



Mindteck Investor Presentation

THIRD QUARTER ENDED DECEMBER 31, 2019

February 14, 2020

Safe Harbor

Certain statements in this release concerning our future growth prospects may be forward-looking statements, which involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, intense competition in IT services including those factors which may affect our cost advantage, wage increases, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on immigration, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, and general economic conditions affecting our industry. Mindteck may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. The company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the company.

Financial Performance

Performance Highlights – Consolidated Results

Q3 2019-20:

- Revenue at ₹688.3 million (\$9.8 million), growth of 1.1% QoQ and dip of 1.7% YoY.
- EBITDA at ₹7.6 million (\$0.1 million), growth of 15.2% QoQ.
- Profit after tax (“PAT”) at ₹(227.4)* million (\$(3.2) million) as against loss of ₹(15.5) million in September 2019 & loss of ₹(12.0) million in December 2018.

Year to date 2019-20:

- Revenue at ₹2,054.3 million (\$29.2 million), dip of 6.2% as against the preceding year.
- EBITDA at ₹41.30 million (\$0.6 million), growth of 89% as against the preceding year.
- Profit after tax (“PAT”) at ₹(239.4)* million (\$(3.4) million) as against profit of ₹0.7 million in the preceding year.

*During the quarter ended December 31, 2019, the management has carried out an impairment exercise in respect of carrying value of goodwill and basis valuation carried out by an external valuation expert, has made an impairment of Rs. 215.7 million (\$ 3 million) as an **exceptional non cash item**, towards carrying value of goodwill.

Performance Summary – Consolidated Results

SEQUENTIAL Q3'20 Vs Q2'20

Amount in ₹ million

SI #	Particulars	Q3' 20 (Unaudited)	Q2' 20 (Unaudited)	Change %
1	Income:			
	a) Revenue	688.3	680.6	1.1%
	b) Other income	5.0	3.9	28.2%
	Total Income (a+b)	693.3	684.5	1.3%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	105.4	98.9	6.6%
	b) Employee benefits expense	505.0	496.5	1.7%
	c) Finance cost	5.7	5.6	1.8%
	d) Depreciation and amortization	18.4	17.6	4.5%
	e) Other expenses	70.3	78.6	-10.6%
	Total Expenses (a+b+c+d+e)	704.8	697.2	1.1%
3	Profit/(Loss) Before Tax & Exceptional Items ("PBT") (1-2)	(11.5)	(12.7)	9.4%
4	Exceptional Item*	(215.7)	-	-
5	Profit/(Loss) Before Tax ("PBT") (3+4)	(227.2)	(12.7)	(a)*
6	Tax expense	0.2	2.8	-92.9%
7	Profit/ (Loss) After Tax ("PAT") (5-6)	(227.4)	(15.5)	(a)*

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(a) Since current/previous quarter is negative, the percentage change for the period is not computed.

Performance Summary – Consolidated Results

YoY Q3 FY 20 Vs. Q3 FY 19

Amount in ₹ million

SI #	Particulars	Q3' 20 (Unaudited)	Q3' 19 (Unaudited)	Change %
1	Income:			
	a) Revenue	688.3	700.5	-1.7%
	b) Other income	5.0	2.7	85.2%
	Total Income (a+b)	693.3	703.2	-1.4%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	105.4	123.4	-14.6%
	b) Employee benefits expense	505.0	496.6	1.7%
	c) Finance cost	5.7	3.6	58.3%
	d) Depreciation and amortization	18.4	4.3	327.9%
	e) Other expenses	70.3	87.3	-19.5%
	Total Expenses (a+b+c+d+e)	704.8	715.2	-1.5%
3	Profit/ (Loss) Before Tax (3-4)	(11.5)	(12.0)	4.2%
4	Exceptional Item*	(215.7)	-	-
5	Profit/ (Loss) Before Tax ("PBT") (3+4)	(227.2)	(12.0)	(a)*
6	Tax expense	0.2	-	(a)
7	Profit/ (Loss) After Tax ("PAT") (5-6)	(227.4)	(12.0)	(a)*

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Performance Summary – Consolidated Results

YoY Q3 FY 20 Vs. Q3 FY 19

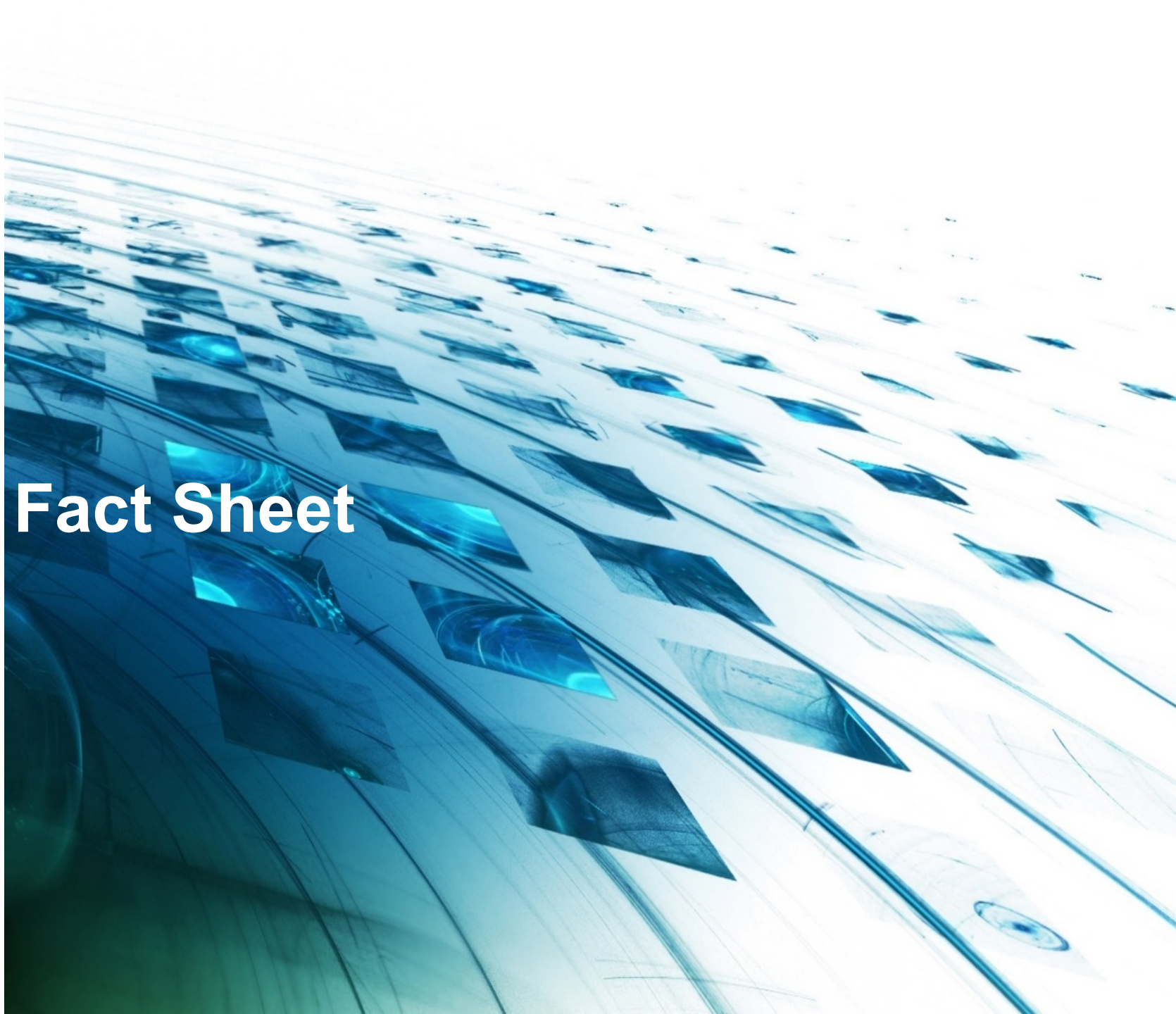
Amount in ₹ million

Sl #	Particulars	Q3' 20 (Unaudited)	Q3' 19 (Unaudited)	Change %
1	Income:			
	a) Revenue	2,054.3	2,191.1	-6.2%
	b) Other income	12.3	22.6	-45.6%
	Total Income (a+b)	2,066.6	2,213.7	-6.6%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	314.2	362.9	-13.4%
	b) Employee benefits expense	1,479.1	1,543.7	-4.2%
	c) Finance cost	17.2	10.4	65.4%
	d) Depreciation and amortization	52.3	15.2	244.1%
	e) Other expenses	219.7	262.7	-16.4%
	Total Expenses (a+b+c+d+e)	2,082.5	2,194.9	-5.1%
3	Profit/ (Loss) Before Tax (3-4)	(15.9)	18.8	(a)
4	Exceptional Item*	(215.7)	-	-
5	Profit/ (Loss) Before Tax ("PBT") (3+4)	(231.6)	18.8	(a)*
6	Tax expense	7.8	18.1	-56.9%
7	Profit/ (Loss) After Tax ("PAT") (5-6)	(239.4)	0.7	(a)*

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Mindteck Fact Sheet

The background of the slide is an abstract composition of white and light blue lines and shapes on a dark blue gradient. The lines are mostly diagonal, creating a sense of movement and depth. There are several rectangular and diamond-shaped elements, some of which appear to be glowing or have a blue tint, adding a technological or futuristic feel to the design.

Fact Sheet

Financial Performance Highlight

In ₹ Million

Particulars	Q3 2020	Q2 2020	Q3 2019	Growth %		FY 19
				QoQ	YoY	
Revenue	688.3	680.6	700.5	1.1%	-1.7%	2,994.1
EBITDA	7.6	6.6	(6.8)	15.2%	(a)	44.0
PAT*	(227.4)	(15.5)	(12.0)	(a)*	(a)*	27.4

In \$ Million

Particulars	Q3 2020	Q2 2020	Q3 2019	Growth %**		FY 19
				QoQ	YoY	
Revenue	9.8	9.7	10.1	0.6%	-2.5%	42.8
EBITDA	0.1	0.1	(0.1)	14.6%	(a)	0.6
PAT*	(3.2)	(0.2)	(0.2)	(a)*	(a)*	0.4

USD/INR

Exchange Rate	Q3 2020	Q2 2020	Q3 2019	FY 19
Average (P&L)	70.2	69.9	69.7	69.9

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**Percentage calculated based on converted dollar value whole number

(a) *Since current/previous quarter is negative, the percentage change for the period is not computed.*

Fact Sheet

Revenue Metrics

Geography	Q3 2020	Q2 2020	Q3 2019	FY 19
USA	69%	68%	71%	69%
IMEA	7%	7%	6%	9%
Europe	10%	10%	10%	9%
APAC	14%	15%	13%	13%
Delivery Centers				
USA	62%	59%	60%	60%
India	12%	14%	15%	16%
Singapore	9%	8%	7%	7%
Malaysia	5%	6%	6%	6%
UK	7%	7%	6%	6%
Germany	3%	3%	4%	2%
Baharin	2%	3%	2%	3%
Project Type				
Time and Material	97%	99%	99%	95%
Fixed	3%	1%	1%	5%
Services				
Managed Services ("MS")	31%	31%	32%	35%
Professional Services("PS")	69%	69%	68%	65%

Fact Sheet

Revenue Metrics

Revenue Mix - Efforts	Q3 2020	Q2 2020	Q3 2019	FY 19
Onsite	69%	68%	67%	65%
Offshore	31%	32%	33%	35%
Revenue Mix - Business Offerings				
Talent Management	60%	59%	60%	57%
Product Engineering	23%	24%	24%	24%
Information Technology Services	16%	17%	15%	18%
Smart City Services	1%	0%	1%	1%

Fact Sheet

Client Metrics

Clients	Q3 2020	Q2 2020	Q3 2019	FY 19
Top 5	54%	57%	63%	57%
Top 10	72%	73%	79%	74%

Other Details	Q3 2020	Q2 2020	Q3 2019	FY 19
No of Clients	98	97	83	114
1 Mn +	10	10	9	9
5 Mn +	2	2	2	2

Employee Metrics

People	Q3 2020	Q2 2020	Q3 2019	FY 19
<u>Total Headcount</u>	1,007	1,010	1,035	1,026
Technical	821	827	845	845
Support	186	183	190	181



**If you have any questions, or need assistance,
please contact:**

Mr. Anand Balakrishnan

Chief Operating Officer and Interim Chief Financial Officer

Telephone: +91 80 4154 8000

Email: anand.balakrishnan@mindteck.com

